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Applied Materials: Storm Ahead of the Calm

Surge in new equipment orders has investors worried about a coming slowdown

By Dan Gallagher

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Technicians working on machinery at the Applied Materials facility in Santa Clara, Calif. DAVID PAUL MORRIS/
BLOOMBERG

At Applied Materials **AMAT -4.29%** ▼ , there is a definite sense that one actually can have too much of a good thing.

The company, which makes the expensive equipment used to produce semiconductors as well as displays for TVs and smartphones, is a well established giant in what typically has been a highly cyclical industry. Its business depends on the spending patterns of a few large customers who write big checks so periods of boom naturally have been followed by some pretty significant busts.

Fears of a downturn have subsided somewhat over the past year as Applied has

enjoyed steadily strong demand across different customer groups, including OLED display makers reportedly gearing up for the next iPhone. But a sharp jump in new equipment orders for the fiscal first quarter reported Wednesday renewed some concerns. Orders jumped 86% year over year to a record of \$4.2 billion. That is the biggest surge Applied has seen in seven years, according to data from Capital IQ.

That has analysts worried about an inevitable slowdown, as Applied's customers digest those purchases. Wall Street is expecting new equipment orders to fall over the next two quarters, based on FactSet. The stock, which has doubled in value over the past year, slipped a bit after the report.

But investors shouldn't be too worried. Even if near-term orders moderate, analysts see strong drivers that will keep sales growing over the next three years. Timothy Arcuri of Cowen & Co. also projects "massive increases" in capital return supported by growing free cash flow. And, at 13.8 times forward earnings, Applied trades at a discount to peers and to its own five-year average of 15 times. Not a bad place to stack up a few more chips.

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